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PRIVATE CREDIT, BALANCE SHEETS AND FINANCIAL STABILITY

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ABSTRACT

We document new evidence on the capitalization, funding structure, and performance of private credit funds using comprehensive fund- and asset-level data covering most of the industry. Private credit funds are highly capitalized, with equity typically accounting for 65–80% of total assets—more than six times the capitalization of U.S. banks, where equity represents about 10%. Debt usage is moderate and largely reflects bank credit lines used for liquidity management. Fund lives average 10–12 years, while underlying loan maturities are generally shorter, implying little or no maturity mismatch—unlike banks, which fund long-term assets with short-term callable deposits. Private credit portfolios are diversified across industries, geographies, and credit strategies, reducing exposure to correlated shocks. Performance data show positive average net annualized returns with limited downside risk to creditors, as losses are largely borne by equity investors. Overall, private credit funds appear conservatively structured and unlikely to pose systemic risks comparable to traditional banks under their current balance-sheet configurations. We conclude by discussing potential vulnerabilities that could emerge as the sector grows, including governance and disclosure frictions, stress-period dynamics, bank–nonbank linkages, and the transmission of losses through limited partner balance sheets and retail investment vehicles.

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1. Introduction

The rapid expansion of private credit is one of the more significant changes in modern financial intermediation. Over the past decade, a growing share of corporate lending has moved from deposit-funded banks to private credit funds, altering how credit is supplied and how risk is allocated across the financial system. Policymakers and commentators increasingly view this shift through the lens of “shadow banking,” raising concerns that private credit may reproduce the vulnerabilities traditionally associated with banking—high leverage, opacity, maturity mismatch, and interconnectedness—outside the regulatory perimeter.

These concerns reflect how financial crises typically emerge. Crises rarely occur simply because asset values decline. Instead, losses become systemic when they interact with fragile funding structures. The textbook example considers banks, which hold long-term, illiquid loans financed with short-term on demand deposits. When depositors fear losses, they may run, forcing banks to liquidate assets at depressed prices and transmitting distress to other institutions. This combination of maturity mismatch and runnable liabilities has repeatedly amplified shocks, from the Great Depression to the 2007–2009 financial crisis.

This perspective highlights a central issue for financial stability. Fragility in intermediaries arises from the interaction between their funding structure and the types of assets on their balance sheets. The type of institution providing credit—a bank or shadow bank—is much less important. The key question is therefore whether private credit replicates the balance-sheet structures that make banks fragile.

This article examines that question directly. We ask whether the rise of private credit contributes to systemic financial risk and, if so, through what balance-sheet channels. Addressing this question requires focusing on the structural features emphasized in theories of financial fragility: leverage, funding structure, maturity transformation, and the allocation of losses between equity investors and creditors.

This balance-sheet perspective has deep roots in economic theory. Models beginning with Diamond and Dybvig (1983) show that systemic fragility arises less from risky assets themselves than from financing structures that combine thin equity with short-term runnable funding and maturity mismatch. Recent empirical work confirms that these mechanisms remain central to modern banking crises, including episodes driven by uninsured deposits and interest-rate risk (Egan et al. 2017; Davila and Goldstein 2023; Amador and Bianchi 2024; Jiang et al. 2024, 2025). Ivashina (2025) reviews the emerging literature on private credit and highlights several potential channels through which it could affect financial stability. However, systematic evidence on the balance sheets and performance of private credit funds remains limited.

We address this gap using new proprietary data on private credit funds. Our dataset covers roughly 1,300 funds and nearly 9,000 underlying loan holdings from 2000 to 2024, representing approximately 60–70 percent of U.S. private credit assets. The data, drawn from verified reports by general partners and limited partners, allow us to characterize fund capitalization, leverage, funding sources, maturity structure, portfolio diversification, and realized performance. We compare these patterns directly with those of U.S. commercial banks using regulatory Call Report data.

The article focuses on five sets of findings that speak to these questions.

First, private credit funds are far more equity financed than banks. Equity typically accounts for roughly 65–80 percent of fund assets, compared with about 10 percent for U.S. commercial banks. This difference can reflect the absence of insured deposits and the inability of private credit funds to issue money-like liabilities (Jiang et al. 2020). Instead, they rely primarily on equity capital provided by long-horizon institutional investors.

Second, borrowing by private credit funds is modest and comes primarily from banks through short-term credit lines. These lines are typically used to manage liquidity—for example, to bridge capital calls—rather than to sustain persistent leverage. This distinction is important because bank–nonbank linkages are often viewed as a potential channel of contagion. We show that these bank exposures are small relative to fund assets and are protected by substantial equity buffers, limiting the scope for spillovers and amplification.

Third, private credit funds exhibit little or no maturity mismatch. Funds typically have lives of 10–12 years, while the loans they hold mature sooner. As a result, asset cash flows generally arrive before the fund itself winds down. This structure contrasts with deposit-funded banking, where long-duration assets are financed with short-term, runnable liabilities (Jiang et al. 2020).

Fourth, private credit portfolios are diversified across industries, geographies, and credit strategies. This diversification, combined with high equity capitalization, limits exposure to non-aggregate shocks. Thus, these funds are primarily exposed to aggregate, correlated risks.

Finally, realized performance suggests that downside risk is largely absorbed by equity investors rather than creditors. Using data on fully exited funds, we find that private credit funds generate positive and relatively stable net annualized returns averaging around 10 percent. Losses occur, but they are typically absorbed within the equity layer. Because equity cannot run, the spillovers to the rest of the economy are limited to the indirect channel of wealth effects.

Taken together, these findings speak directly to the distinction emphasized, but necessarily left open, in Ivashina (2025). That paper argues that private credit may differ from banks

in ways that mitigate classic sources of instability, while also emphasizing that data limitations—particularly for private, closed-end credit funds—make it difficult to draw conclusions based on realized outcomes. By linking balance-sheet structure to realized performance, we provide evidence that private credit funds combine high equity buffers, modest bank borrowing, long-term funding, and diversification with outcomes in which shocks primarily affect equity investors rather than triggering creditor distress or systemic amplification.

The empirical evidence presented in this article suggests that, based on their current balance-sheet structures, private credit funds do not exhibit the classic features that make banks systemically fragile. They operate with substantially higher equity capitalization, limited reliance on short-term debt, and little maturity mismatch. As a result, losses are primarily absorbed by long-horizon equity investors rather than transmitted through fragile funding structures. In this sense, private credit represents a different configuration of financial intermediation in which credit risk is allocated primarily to investors rather than to short-term creditors.

At the same time, the absence of such vulnerabilities in current balance sheets does not imply that private credit cannot contribute to financial instability through other channels. In the final section, we outline several such channels and propose them as directions for future research.

One important set of questions concerns how the structure of private credit may evolve as the industry grows and competition intensifies. Competitive pressures could lead funds to increase leverage and rely more heavily on short-term facilities. Underwriting standards may loosen, or funds may expand into riskier borrower segments. As the sector scales, issues of transparency, valuation, governance, and asset quality become increasingly salient.

Bank linkages are particularly relevant in this context. While bank credit lines are often described as liquidity tools used to bridge capital calls or smooth transaction timing, such facilities can become ongoing sources of funding if market conditions deteriorate or expected inflows fail to materialize. In that sense, exposures that originate as liquidity support may evolve into more persistent sources of leverage during periods of stress. History also cautions that formal legal separations do not always prevent balance-sheet re-internalization. During the 2007–2008 asset-backed commercial paper (ABCP) crisis, banks brought off-balance-sheet exposures back onto their balance sheets to protect reputational capital and preserve funding access, even when contractual obligations were limited. A similar dynamic could, in principle, arise if private credit vehicles were perceived to be implicitly supported by affiliated institutions. Some of these pressures may

already be emerging as private credit expands rapidly and funding relationships with banks deepen.

A second set of questions concerns how losses in private credit propagate through the broader financial system, particularly during downturns. Because private credit funds rely heavily on equity financing from limited partners, losses are borne primarily by investors rather than creditors. This feature reduces the likelihood of classic run dynamics at the fund level, but it shifts attention to the balance sheets of the institutions that ultimately absorb those losses. If private credit exposures are concentrated among a relatively small group of institutional investors—or if participation increasingly expands through retail or semi-liquid vehicles—losses may affect portfolio rebalancing, fundraising, and ultimately the supply of credit. Recent episodes of withdrawal pressure in non-traded business development companies illustrate that investor behavior can matter even when funding is structured as equity.

A related set of questions concerns governance, control rights, and monitoring in private credit. Particular concerns center on the reliability of valuation practices and the quality of disclosure, especially as funds scale and performance becomes harder to independently verify. More broadly, stress in adjacent credit markets could generate valuation spillovers that tighten capital flows even absent realized credit losses. The experience of the non-agency MBS market prior to the Global Financial Crisis illustrates how opacity can enable misrepresentations of asset quality, erode investor confidence, and ultimately contribute to market unraveling (Piskorski et al. 2013).

More broadly, the growth of private credit raises questions about how financial intermediation is organized across institutions. As credit provision increasingly shifts across banks, private credit funds, finance companies, and capital-market vehicles, the systemic implications depend less on whether an institution is formally classified as a bank and more on how intermediation functions are distributed across balance sheets. Determining when this shift reflects efficient reallocation—and when it instead relocates fragility outside the regulatory perimeter—remains an important direction for future research. In particular, future work should assess whether implicit guarantees, reputational spillovers, or regulatory responses could recreate bank-like fragility even when formal balance-sheet structures appear distinct.

Related literature: Our findings are connected to the growing literature on nonbank financial intermediation, shadow banking, and the evolving boundary between banks and market-based credit (e.g., Buchak et al. 2018; 2024a,b,c; Jiang et al. 2020; Hachem and Song 2021; Irani et al. 2021; Begenau and Landvoigt 2022; Chernenko et al. 2022; Cherry et al. 2022; Gopal and Schnabl 2022; Xiao 2022; Jiang 2023; Acharya et al. 2025; Chernenko et al. 2025). Within this literature, our paper is most closely related to Jiang et

al. (2020), who use data on the capital structure decisions of shadow banks that, on the asset side, conduct business similar to banks in the residential mortgage lending market. They show that while nonbank mortgage lenders rely on bank credit lines for their funding, they employ roughly twice the amount of equity capital compared with traditional banks. In a calibrated quantitative equilibrium model, they attribute banks' higher leverage compared to non-bank lenders to their access to insured deposit funding and their ability to issue money-like claims.

We complement the Jiang et al. (2020) analysis by demonstrating that the pattern of substantially higher capitalization among nonbank lenders extends well beyond mortgage lending to the broader private credit fund market. Our findings reveal that private credit funds maintain equity ratios more than six times higher than those of traditional banks, with limited maturity mismatch and modest use of bank credit line financing. Our work is also related to Chernenko, Ialenti, and Scharfstein (2025), who document that Business Development Companies (BDCs), another important class of nonbank lenders, similarly exhibit much higher equity capitalization and limited financial stability risk relative to banks. Taken together, these studies, along with our evidence covering the bulk of the private credit fund universe, indicate that private credit intermediation may pose limited systemic risk to financial stability despite its rapid growth.

Our paper is also related to work documenting the use of bank credit lines by nonbank intermediaries, raising the possibility that bank–nonbank linkages could transmit shocks across the financial system (e.g., see Jiang et al. 2020; Jiang 2023; Acharya et al. 2025). More broadly, our work relates to Buchak et al. (2018, 2024a–c), who document the secular decline in traditional bank balance-sheet lending and the rise of nonbank intermediation. They show how technology, regulation, investor demand, and monetary policy have contributed to this shift, and they develop a modern financial intermediation framework that explains how these changes reshape the pass-through of financial regulation and monetary policy. Finally, given our context, our paper is related to a large literature on private equity funds (see Kaplan and Strömberg 2009 for a review) and recent work on private credit funds (e.g., Erel et al. 2024; Jang et al. 2025). We contribute to this literature by providing new evidence on the capitalization and funding structure of private credit funds with implications for financial stability.

2. Institutional Background and Data

We focus on private equity credit funds, which account for most of the private credit. They are typically structured as limited partnerships, with two main parties: the General Partner (GP) and the Limited Partners (LPs). The GP manages the fund—sourcing, executing, and monitoring investments—while the LPs, typically institutional investors such as pension funds, insurers, and endowments, provide the bulk of the capital but remain largely passive. These funds primarily invest in loans and other credit instruments extended to a wide range

of businesses, often targeting middle-market private companies that may not have easy access to traditional financing. To enhance returns, many private credit funds also employ leverage at the fund or portfolio level. The GP typically commits a small portion of the fund’s capital to align incentives with the LPs and earns performance-based compensation, such as carried interest. Most funds follow a closed-end structure with a defined investment period and term, during which capital is drawn down, deployed, and ultimately distributed back to investors.

Our dataset, MSCI Private Capital Universe, comes from MSCI, a leading provider of private capital data and analytics. It includes fund-level observations for 1,267 private equity debt funds primarily active in the US and asset-level data for 8,982 individual holdings of these funds. The sample spans the period from 2000 to 2024 and encompasses a diverse range of strategies—distressed, mezzanine, senior, and generalist credit—as well as a broad cross-section of industries, including both active and fully exited funds. Because MSCI Private Capital Universe data are drawn from verified limited partner (LP) and general partner (GP) reports, they represent one of the most reliable and comprehensive sources of institutional private credit information. The resulting summary statistics thus reflect the underlying population of institutional private debt funds, rather than a self-reported or public subset. As discussed in Section 3, while our data coverage improves in later years, it currently captures over 60% of outstanding private equity credit funds by assets.

It is worth noting that our sample captures larger and more established private credit funds that report detailed information, while very small, newly formed, or more opaque vehicles may be underrepresented. Some private credit activity also occurs through structures that do not file standardized disclosures or are embedded within other institutional forms such as Business Development Companies (BDCs) that account for about 20% of private credit (see Chernenko et al. 2025). As a result, while our data likely provide a representative picture of the core institutional segment of private credit, they may understate activity in smaller, less transparent, or more specialized corners of the market.

Each fund observation contains information allowing us to assess its total assets, equity-to-asset (E/A) ratios, and credit line usage, enabling an assessment of their capitalization and funding structure. The dataset also provides the composition of fund portfolios by industry and strategy, as well as aggregate performance indicators such as net returns and holding maturities. It is important to note that not all funds in the dataset report information on credit line usage, which are mainly provided by US banks (Jiang et al. 2020, Jiang 2023; Buchak et al. 2024c; Acharya et al. 2025). A missing value does not necessarily imply non-usage—it may simply indicate non-reporting. To ensure robustness, the analysis therefore also considers a subsample restricted to 574 funds (about 46% of total sample) that

explicitly report positive credit line usage. This approach allows for a more accurate assessment of capitalization and leverage patterns within the industry.

For each fund, we also consider its annualized net returns to LPs. For funds that are still active, these returns reflect realized performance based on the assessed value of outstanding assets. For robustness, we also examine net returns for funds that have fully liquidated, which are independent of internal valuation models. In addition, for funds that have already exited, we analyze both the fund’s total lifetime and the duration of its individual investments.

All results are descriptive and based on means, medians, and distributional percentiles. The E/A ratio is used as the primary measure of capitalization. Where relevant, both equal-weighted and asset-weighted values are reported to distinguish between small and large fund characteristics.

3. Growth of Private Credit Funds

We begin by documenting the growth of the private credit sector.

Figure 1 illustrates the strong upward trajectory of the industry. The number of private credit debt funds increased sharply—from fewer than 30 funds in the early 2000s to nearly 1,000 by 2023. Over the same period, aggregate assets under management expanded from under \$10 billion to nearly \$700 billion. This represents an order-of-magnitude increase in managed capital and reflects the rapid institutionalization of private credit as an asset class.

As shown in Appendix A.1, our data coverage improves over time and, by the end of the sample, captures roughly 60–70% of total U.S. private credit activity, assessed at more than \$1 trillion based on Preqin data. The evolution in fund assets in Figure 1 closely mirrors the broader industry trends shown in Appendix A.1, suggesting that our sample provides a representative view of the overall growth and composition of the private credit market.

Importantly, the growth of private credit reflects broader structural changes in financial intermediation. Technological developments, regulatory changes, investor demand, and shifts in bank capital requirements have all contributed to a gradual reallocation of credit provision away from bank balance sheets and toward market-based intermediaries (Buchak et al. 2018; 2024a–c). Private credit funds represent one important component of this broader transition toward distributed financial intermediation.

Understanding the implications of this transition requires examining not only the scale of private credit but also the structure of its balance sheets, which determines how risks are financed and absorbed.

4. Balance Sheet Structure and Risk

We proceed in four steps.

First, we analyze the liability side, focusing on capitalization and funding structure. We compare equity buffers and leverage to those of traditional banks.

Second, we examine the asset side of the balance sheet, including portfolio composition across strategies, industries, and geographies.

Third, we study fund life cycles and asset–liability alignment in order to assess maturity mismatch.

Fourth, we analyze realized fund returns to understand how credit risk is distributed between equity investors and creditors.

Taken together, this analysis provides an empirical assessment of whether private credit funds exhibit the structural vulnerabilities commonly associated with intermediary fragility.

4.1 Liability Side: Capitalization, Funding Structure, and Bank Linkages

The E/A ratio measures the proportion of a fund’s assets financed with equity rather than debt. It therefore provides a direct indicator of leverage and the size of the loss-absorbing buffer protecting creditors. Holding asset risk constant, higher equity capitalization implies lower leverage and greater protection for lenders.

Table 1 provides clear evidence that private credit funds maintain high equity capitalization. Across all funds, the mean E/A ratio is 0.85 and the median is 0.98, indicating that most funds are overwhelmingly equity-financed. Even at the 25th percentile, the E/A ratio remains 0.78, implying limited reliance on borrowing. Asset-weighted statistics show a similar pattern. The asset-weighted mean E/A ratio equals 0.79, indicating that larger funds are no more levered than smaller ones.

Among funds that report credit line usage, capitalization remains substantial. The mean E/A ratio in this subsample is 0.70, while the asset-weighted mean is 0.65. Even when credit lines are used, roughly two-thirds of assets remain equity-financed. These credit lines are typically provided by commercial banks and function primarily as liquidity management tools. Funds use them to bridge capital calls, manage transaction timing, or smooth cash flows between investments and investor contributions. In this sense, they resemble working capital facilities rather than persistent leverage.

Panel C of Table 1 contrasts these patterns with the capitalization of U.S. commercial banks. The average E/A ratio for banks is approximately 0.11, implying leverage roughly six times higher than that observed in private credit funds.

Figure 2 places these differences in a time-series context. Despite rapid growth in assets, private credit funds have maintained relatively stable capitalization over time. Equity consistently accounts for roughly two-thirds of assets, with credit line borrowing

representing most remaining liabilities. Banks exhibit a markedly different structure. Deposits—both insured and uninsured—constitute the majority of bank liabilities, while equity remains a small fraction of total assets. As recent research shows, the growing share of uninsured deposits has increased banks’ exposure to withdrawal risk (Jiang et al. 2024, 2025).

Figures 3 and 4 show that strong capitalization persists across strategies and industries. Mezzanine and distressed funds operate with somewhat lower equity ratios, typically around 0.55–0.60, reflecting greater use of borrowing in higher-risk strategies. Similarly, real estate funds operate with somewhat lower equity ratios in the range of 0.60, which is unsurprising given the collateralized nature of property-backed assets. Even so, these levels remain high relative to most financial intermediaries.

Overall, the evidence indicates that private credit funds rely primarily on equity financing from long-horizon equity investors, rather than on short-term debt, even during the period of large growth.

These findings also speak to the role of bank–nonbank linkages. Although borrowing by private credit funds is limited, some funds rely on bank-provided credit lines. These facilities create a channel through which banks are connected to nonbank intermediaries. However, the scale and structure of these exposures appear limited. Credit lines are typically small relative to fund assets and are backed by substantial equity buffers. Moreover, they are usually structured as contingent liquidity facilities rather than as sources of ongoing leverage. Understanding how such linkages behave during periods of financial stress remains an important topic for future research.

4.2. Asset Side: Fund Strategy, Industry Concentration, and Capitalization

High capitalization reduces vulnerability to shocks, but a natural concern is whether private credit funds compensate for lower leverage by holding unusually risky or highly concentrated assets. We therefore turn to the asset side of the balance sheet.

Table 2 provides an overview of portfolio allocation across investment strategies. Distressed credit funds account for roughly 29.6 percent of total assets, generalist funds for 26.5 percent, mezzanine funds for 17.0 percent, and senior debt funds for 18.8 percent. The remaining assets fall into smaller or unclassified categories.

This allocation indicates that private credit activity spans both opportunistic and income-oriented segments of the market. While distressed strategies target financially troubled firms, a substantial share of assets is invested in senior or mezzanine claims higher in the capital structure, where recovery rates tend to be stronger and loss rates lower.

Panel B of Table 2 reports portfolio allocation by industry focus. Generalist funds account for approximately 60 percent of total assets, while real estate–focused funds represent

about 22 percent. Other sectors—including financials, information technology, and energy—account for smaller shares. This distribution indicates that private credit funds are not narrowly concentrated in a single sector but instead maintain exposure across a wide range of industries.

Asset-level evidence reinforces this point. Table 3 reports the industry composition of 8,982 individual loan holdings representing approximately \$477 billion in total investment value. Financials account for 20.6 percent of total assets, followed by industrials (15.4 percent), health care (12.4 percent), and information technology (11.1 percent). Real estate accounts for 9.9 percent of total assets, while consumer-facing sectors represent many smaller positions. These patterns indicate that private credit portfolios are diversified across industries and borrowers. In several sectors the share of holdings exceeds the share of total assets, suggesting that funds maintain multiple smaller exposures rather than a few concentrated positions.

These findings are consistent with recent evidence on the lending technology of direct lenders. Jang, Kim, and Sufi (2025) show that direct lenders frequently finance private equity-backed firms and are particularly active in industries characterized by intangible capital and relationship-based lending. Our asset-level evidence complements these findings by demonstrating that, even within these sectors, portfolios remain diversified across strategies and industries.

Geographic diversification further reduces concentration risk. Figure 5 shows that private credit investments are distributed across a broad range of U.S. states. Although New York, Texas, and California together account for roughly one-quarter of total exposure, the remaining three-quarters are spread across numerous states throughout the Midwest, Southeast, and Mountain regions.

Taken together, the asset-side evidence indicates that private credit portfolios are diversified across strategies, industries, borrowers, and geographic regions. Combined with the substantial equity buffers documented in Section 4.1, this diversification reduces the likelihood that sector-specific shocks translate into widespread creditor distress. In other words, the sector as a whole is most exposed to an aggregate shock that affects multiple industries and geographies at the same time and is severe enough to affect senior and mezzanine debt.

4.3 Fund Life Cycles and Asset–Liability Alignment

A central insight from the theoretical literature on financial fragility is that instability often arises from maturity mismatch—the financing of long-duration assets with short-term liabilities that can be withdrawn suddenly.

Diamond and Dybvig (1983) emphasize how such structures can expose banks to liquidity crises and runs. Subsequent work shows that these vulnerabilities remain central to modern banking crises even if assets are liquid, as long as institutions rely heavily on uninsured deposits or face interest-rate risk (Egan et al. 2017; Davila and Goldstein 2023; Jiang et al. 2024, 2025). Motivated by this literature, we examine the maturity structure of private credit funds and the relationship between fund lifecycles and investment horizons.

Figure 6 plots the mean and median maturity of underlying investments against realized fund duration for funds that have fully exited. The figure shows a clear positive relationship: funds with longer lifecycles tend to hold investments with longer maturities. This pattern suggests that managers deliberately align asset maturities with the overall duration of the fund.

Importantly, the maturity of underlying loans remains consistently shorter than the total fund life. Table 4 shows that the mean duration of exited funds is approximately 11.6 years, while the average maturity of underlying investments is roughly five years. This difference implies that loan cash flows are typically realized well before the fund reaches liquidation

This structure differs sharply from deposit-funded banking. Banks typically finance longer-duration assets with short-term deposits that can be withdrawn on demand. Because deposits represent the majority of bank liabilities and equity cushions are relatively thin, even moderate asset losses can make banks fragile if they are substantially funded with uninsured deposits (Jiang et al., 2024, 2025).

Private credit funds operate under a different model. Their capital structure is dominated by long-term equity commitments from limited partners, and liabilities generally have maturities longer than underlying investments. As a result, private credit funds exhibit little or no maturity mismatch and face minimal withdrawal risk. While they are vulnerable to asset losses, these losses do not result in fragile intermediaries.

Even when funds employ bank credit lines, these facilities function primarily as contingent liquidity tools rather than as runnable liabilities comparable to deposits. Moreover, the substantial equity buffers documented earlier provide significant protection to lenders.

Overall, the evidence indicates that private credit funds maintain strong asset–liability alignment, with investment maturities typically shorter than fund lifecycles and limited reliance on short-term funding. This evidence reinforces the view that private credit represents a structurally more stable and resilient form of credit intermediation than the traditional deposit-funded banking system.

4.4 Realized Returns and Downside Risk

Having documented the balance-sheet structure of private credit funds, we now examine realized returns. Fund-level returns reflect several interacting forces: the risk characteristics

of underlying loan portfolios, the degree of leverage employed, and the contractual allocation of losses between equity investors and creditors. As a result, the distribution of realized returns provides useful information about the economic risks embedded in fund assets and the extent to which those risks are absorbed by LP capital.

Table 5 reports annualized net internal rates of return (IRRs) for 1,267 private credit funds. Across the full sample, the mean annualized return equals 9.6 percent, while the median is 9.1 percent. Downside outcomes are relatively limited. Only a small share of funds—roughly 2 to 5 percent—experience returns sufficiently negative to substantially erode LP capital over a typical fund lifecycle. The lower tail of the distribution is relatively thin: the 5th percentile return is approximately –3.8 percent, and extreme outcomes are rare.

Performance varies across strategies. Distressed funds exhibit greater dispersion in returns, reflecting their focus on financially troubled borrowers. Mezzanine funds also display somewhat higher volatility than senior strategies. Senior lending strategies, by contrast, show the most stable performance. Financial-focused funds report higher mean returns with limited downside risk, while real estate funds show somewhat greater dispersion but no evidence of widespread large losses.

Panel B reports returns for fully exited funds, where performance reflects realized cash flows rather than interim valuations. The results are broadly similar. Mean annualized returns increase slightly to 9.9 percent, while the distribution of outcomes remains comparable to that observed for the full sample. The similarity between active and exited funds suggests that observed performance patterns are not primarily driven by valuation smoothing.

Overall, our results indicate that credit risk is largely absorbed within the equity layer of the capital structure. Because equity typically accounts for 65–80 percent of total assets, substantial asset losses would be required before creditors face impairment. A separate question is whether LPs are adequately compensated for bearing this first-loss risk. On that dimension, Erel, Flanagan, and Weisbach (2024) conduct a comprehensive risk-adjusted benchmarking of private debt fund performance and find that these returns largely compensate investors for systematic risk exposures. Similarly, Brown et al. (2025) find that private debt funds have tended to perform well on a risk-adjusted basis.

Taken together, the realized return evidence reinforces the balance-sheet analysis presented earlier: private credit funds operate with substantial equity buffers and risk outcomes that appear largely contained within LP capital rather than transmitted to creditors.

5. Summary and Direction for Future Work

Across several dimensions, private credit funds appear structurally less prone to systemic fragility than traditional deposit-funded banks. First, their capitalization is substantially

higher. Equity typically accounts for 65–80 percent of total assets, compared with roughly 10 percent for U.S. banks. Second, private credit funds exhibit little maturity mismatch. Fund lives generally span 10–12 years, while underlying loans mature earlier, resulting in funding horizons that exceed asset durations. Third, portfolios are diversified across strategies, industries, and geographic regions. Fourth, realized returns indicate positive performance with relatively limited downside risk to creditors, as losses are primarily absorbed by LP equity investors.

Taken together, these features suggest that private credit funds allocate credit risk in ways that differ fundamentally from deposit-funded banking. In particular, they rely on long-term equity capital rather than short-term runnable liabilities, limiting systemic fragility. However, the rapid growth of the sector raises several important questions for future research, which we outline next.

5.1 Cyclical, Stress Resilience, and Bank Spillovers

Much of the expansion of private credit has occurred during a period of relatively benign credit conditions. Although our historical evidence suggests limited downside risk, the behavior of private credit during severe macroeconomic stress remains insufficiently understood. Looking ahead, continued growth and competitive pressure in the sector could alter the structural features that currently support resilience.

Future research should examine how default rates, recovery outcomes, and restructuring practices evolve during credit expansions and deep recessions. For example, how do underwriting standards, pricing discipline, and covenant structures evolve under competitive pressure, and how do loan workouts evolve over the credit cycle?

While the closed-end fund structure limits fragility, it is less well understood whether it dampens or amplifies credit supply responses during stress.

Another important area concerns bank–nonbank linkages. Although private credit funds use bank credit lines primarily as liquidity tools, such facilities could become more important as a source of longer-term funding during periods of market stress. If asset values decline or capital calls become difficult to meet, funds may rely more heavily on these credit lines, increasing spillover concerns. A central question is whether such stress episodes could transform what are currently limited, liquidity-oriented exposures into more material balance-sheet connections between banks and private credit funds. While credit line exposures appear modest relative to fund assets, understanding how they behave during downturns remains important for assessing potential spillovers to the banking sector.

5.2 Stress-Period Loss Allocation and the Role of Limited Partners

Private credit funds rely on limited partners as first-loss investors. Their high equity capitalization implies that LP capital absorbs most losses before creditors become exposed.

As the sector grows, the concentration and behavior of LPs become increasingly important. Many LPs are large institutional investors that participate in multiple funds simultaneously. Losses across funds could therefore generate correlated portfolio adjustments. Recent events in adjacent segments of private credit illustrate this possibility. In non-traded Business Development Companies, which provide retail investors access to private credit strategies, periods of market stress have occasionally triggered waves of investor withdrawal requests, leading some funds to impose redemption limits. While these vehicles differ from institutional closed-end funds, such episodes highlight how investor behavior can influence liquidity dynamics within private credit markets.

Future research should therefore examine the extent to which LP exposures are concentrated, how institutional investors respond to losses during downturns, and whether declines in LP wealth affect credit supply.

In addition, banks may be indirectly exposed to private credit losses through their relationships with LPs. Many institutional investors finance portions of their portfolios with leverage or liquidity facilities provided by banks. If LPs experience substantial losses in private credit investments, they may draw on these facilities or adjust portfolios in ways that affect their bank counterparties. Understanding these indirect channels will be important for evaluating potential spillovers between private credit and the broader financial system.

5.3 Transparency, Governance, and Asset Quality

Private credit operates under a lighter regulatory framework than deposit-funded banking. While this flexibility allows for tailored lending relationships, it also raises questions about disclosure, valuation practices, and monitoring. The history of credit markets suggests that limited transparency can create incentives for asset-quality misrepresentation. Studies of mortgage securitization markets, including Piskorski, Seru, and Witkin (2015) and Griffin and Maturana (2016), document how weak monitoring environments can lead to widespread misreporting of loan characteristics. The experience of the non-agency MBS market prior to the Global Financial Crisis shows how opacity and limited verification eroded underwriting standards and investor confidence, eventually bringing issuance and trading to a halt as asset values declined. This aligns with Akerlof (1970), who shows that when asset quality is uncertain, adverse selection can cause markets to unravel.

Although private credit differs institutionally from securitized mortgage markets, similar informational frictions are relevant—especially as the sector has grown and competitive pressures have increased. Brown, Gredil, and Kaplan (2019) find that some underperforming private equity fund managers may inflate reported returns during

fundraising. Although their findings do not imply widespread fraud, they demonstrate that opaque valuation environments can generate systematic reporting biases. Recent enforcement activity highlights similar vulnerabilities in private-credit markets. For example, in a February 2026 case involving Madison Capital Funding LLC, the Securities and Exchange Commission alleged that the firm sold loans to funds it managed without taking reasonable steps to ensure that the prices reflected fair market value—underscoring how conflicts of interest and opaque pricing can weaken investor protections in less transparent credit markets.

An additional concern arises from what one might term *valuation contagion*. Because many private credit assets are valued infrequently and rely on internal models or manager assessments rather than continuous market prices, stress in adjacent and more transparent segments of credit markets—such as publicly traded BDCs or listed private credit vehicles—may lead investors to question reported net asset values even in the absence of realized credit losses. Discounts observed in traded vehicles can therefore transmit doubts about valuation accuracy across platforms, tightening fundraising conditions and constraining liquidity. In this sense, fragility need not arise through classic runs on short-term funding; it may instead emerge through shifts in beliefs about asset quality that affect capital flows and the capacity of funds to intermediate credit.

Future work should therefore examine valuation practices, covenant enforcement, borrower reporting, and the extent to which underwriting discipline evolves as private credit expands.

5.4 Intermediation Boundaries, and Financial Regulation

More broadly, the expansion of private credit highlights the need for a regulatory perspective focused on the functions of financial intermediation rather than legal entity classifications. Modern financial systems increasingly distribute credit provision across banks, private credit funds, finance companies, and capital-market vehicles with different funding structures and regulatory treatment (Buchak et al. 2026). Whether the growth of private credit enhances or undermines financial stability depends on how these functions are performed and how risks are allocated across interconnected balance sheets.

Recent research shows that the boundary between banks and nonbanks evolves endogenously in response to technology, regulation, investor demand, and monetary policy (Buchak et al. 2024a–c). Integrating private credit into such frameworks represents an important direction for future work.

Developing structural models that jointly capture the migration of intermediation across institutional forms, differences in liability structures, and cross-sector interconnectedness would provide a more complete understanding of when private credit expansion reflects efficient reallocation versus the migration of financial fragility outside the regulatory

perimeter. Such a framework could also provide a disciplined foundation for analyzing—and ultimately rethinking—the design of financial regulation in a system where credit provision increasingly spans multiple institutional forms.

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Table 1: Private Credit Debt Funds Capitalization vs. Traditional Banks

This table reports the mean Equity-to-Assets (E/A) ratio—calculated as total equity capital divided by total assets—for U.S. private credit debt funds, along with the distribution of this ratio across funds. The sample comprises 1,267 private credit debt funds (Panel A), of which 574 funds (approximately 45%) report credit line usage during the 2010–2024 period (Panel B). Panel C presents comparable statistics for all U.S. banks over the same period, based on year-end call report data. On average, private credit funds are more than six times better capitalized than U.S. banks, reflecting their substantially higher equity-to-assets ratios. *Data sources:* MSCI Private Capital Universe and U.S. Call Reports.

Panel A: All Private Credit Funds

	Mean	1%	10%	25%	Median	75%	90%	N
Fund Total Assets (\$M)	552.1	0.4	12.2	62.0	218.8	610.0	1,429.4	9355
E/A Ratio	0.85	0.17	0.45	0.78	0.98	0.99	1.00	9355
E/A Ratio (Asset weighted)	0.79							9355

Panel B: Private Credit Funds with Positive Credit Line Usage

	Mean	1%	10%	25%	Median	75%	90%	N
Fund Total Assets (\$M)	905.6	15.3	88.8	228.1	517.8	1,109.2	2,137.0	2250
E/A Ratio	0.70	0.17	0.27	0.49	0.79	0.96	0.99	2250
E/A Ratio (Asset weighted)	0.65							2250

Panel C: Traditional Banks

	Mean	1%	10%	25%	Median	75%	90%	N
Total Assets (\$M)	3,185.4	16.8	51.60	99.0	212.9	519.5	1,443.0	85,941
E/A Ratio	0.12	0.04	0.08	0.09	0.10	0.12	0.15	85,941
E/A Ratio (Asset weighted)	0.11							85,941

Table 2: Private Credit Funds by Fund Strategy and Fund Industry

This table reports the distribution of U.S. private credit debt funds by investment strategy and fund industry. Panel A shows the distribution of U.S. private credit debt funds by investment strategy, reporting each strategy's share of total assets and of the overall fund count. Distressed and Generalist strategies together account for more than half of total assets, while Mezzanine funds represent the largest share by number of funds. Panel B presents the distribution of funds by industry focus, based on total assets and fund counts. Most funds are Generalist in industry exposure, followed by Real Estate-focused funds, with sector-specific strategies such as Financials, Technology, and Energy comprising smaller portions of the sample. *Data sources:* MSCI Private Capital Universe.

Panel A: By Fund Strategy

Strategy	% of Total Assets	% of All Funds
Distressed	29.6%	26.0%
Generalist	26.5%	19.7%
Mezzanine	17.0%	29.6%
Senior	18.8%	15.6%
Unknown / Not Classified	4.2%	9.1%
Total	100%	100%

Panel B: By Fund Industry

Industry Focus	% of Total Assets	% of All Funds
Generalist	59.8%	54.9%
Real Estate	21.6%	18.7%
Unknown	6.8%	8.3%
Financials	3.0%	4.4%
Information Technology	2.9%	1.9%
Energy	2.5%	3.1%
Health Care	1.4%	3.2%
Industrials	1.3%	2.8%
Communication Discretionary	0.4%	1.6%
Consumer Staples	0.3%	1.2%
Total	100%	100%

Table 3: Asset-Level Data: Composition of Private Credit Holdings

This table reports the industry composition of 8,982 asset-level holdings of private credit funds with a combined total asset value of \$477.4 billion. The table presents each industry's share of total assets and of total holdings. Financials, Industrials, and Health Care account for nearly half of total assets, while Communication Services and Consumer Discretionary sectors represent a larger share by number of holdings. Real Estate, Information Technology, and Energy also comprise notable portions of the aggregate portfolio, indicating broad sectoral diversification among U.S. private credit fund investments. *Data sources:* MSCI Private Capital Universe.

Industry of holding	% of Total Assets	% of Total Holdings
Financials	20.6%	10.8%
Industrials	15.4%	4.7%
Health Care	12.4%	10.0%
Information Technology	11.1%	3.7%
Consumer Discretionary	10.3%	17.3%
Real Estate	9.9%	3.4%
Communication Services	6.1%	20.1%
Energy	4.4%	11.3%
Consumer Staples	3.0%	11.4%
Materials	2.9%	3.5%
Utilities	2.0%	1.8%
Unknown/Not Classified	1.5%	1.9%
All	100%	100%

Table 4: Fund Duration in Years (Exited Funds)

This table reports the distribution of fund durations, measured in years from inception to exit, for U.S. private credit debt funds that have fully exited. The sample includes 324 funds overall, of which 52 report the use of credit line debt. The mean duration for all funds is 11.6 years, compared with a shorter average duration of 8.3 years for funds utilizing SLOC debt, suggesting that such funds tend to have shorter lifecycles. *Data sources:* MSCI Private Capital Universe.

	Mean	1%	10%	25%	Median	75%	90%	N
All Funds	11.58	1.78	5.29	8.08	11.62	14.96	17.44	324
Funds with credit line debt	8.33	1.85	5.20	6.93	8.11	9.76	12.35	52

Table 5: Private Credit Net Fund Returns

This table reports summary statistics of annualized net returns to equity holders (limited partners, LPs) for U.S. private credit debt funds. Panel A presents results for all funds in the sample, while Panel B reports corresponding statistics for funds that have completed their investment life cycle (“exited funds”). Reported figures include the mean, selected percentiles, and sample size (N). Results are shown for the full sample (“All Funds”) as well as disaggregated by investment strategy (e.g., Distressed, Generalist, Mezzanine, Senior) and by primary industry classification. *Data sources:* MSCI Private Capital Universe.

Panel A: All Funds

	Mean	1%	2%	5%	10%	25%	Median	75%	90%	99%	N
All Funds	9.6	-18.1	-11.5	-3.8	1.2	6.1	9.1	12.7	17.6	46.9	1267
By Strategy											
Distressed	9.6	-18.6	-15.4	-4.2	1.5	5.9	9.1	13.3	18.7	43.2	316
Generalist	9.4	-17.6	-11.7	-4.4	0.7	6.6	9.2	12.6	17.5	32.9	280
Mezzanine	9.2	-15.7	-10.1	-4.3	-0.6	5.7	9.4	12.7	16.6	50.7	327
Senior	8.7	-4.9	-1.9	1.8	3.0	6.3	8.5	11.4	14.2	24.0	196
Unknown/ Not Classified	11.9	-19.3	-13.0	-4.2	1.2	5.9	9.0	14.5	22.4	72.5	148
By Industry											
Financials	12.0	-6.9	-3.4	-0.2	2.5	7.0	9.4	13.4	22.3	56.6	46
Generalist	9.5	-17.5	-12.1	-3.1	1.9	6.0	9.1	12.6	17.2	47.1	730
Industrials	8.3	-17.8	-14.6	-5.1	-1.1	7.6	8.7	14.4	15.9	16.3	20
Real Estate	8.3	-20.4	-15.1	-4.9	-1.1	5.6	8.6	11.8	16.4	40.2	246
Unknown/ Not Classified	11.9	-8.4	-0.1	0.2	2.4	6.9	10.3	14.4	20.4	48.7	152
Consumer Discretionary	9.1	-1.2	-0.3	2.6	7.3	8.5	10.5	11.4	11.8	12.8	11
Consumer Staples	4.2	-10.0	-9.5	-8.0	-5.4	2.1	5.3	11.9	12.0	12.0	5
Energy	6.1	-12.8	-11.2	-6.3	-4.3	2.2	8.0	9.9	16.0	20.7	19
Health Care	10.4	2.7	3.4	5.4	5.6	6.9	9.7	11.3	14.3	27.4	21
Information Technology	9.1	-9.9	-8.5	-4.5	2.2	8.6	9.3	12.1	18.5	20.4	9

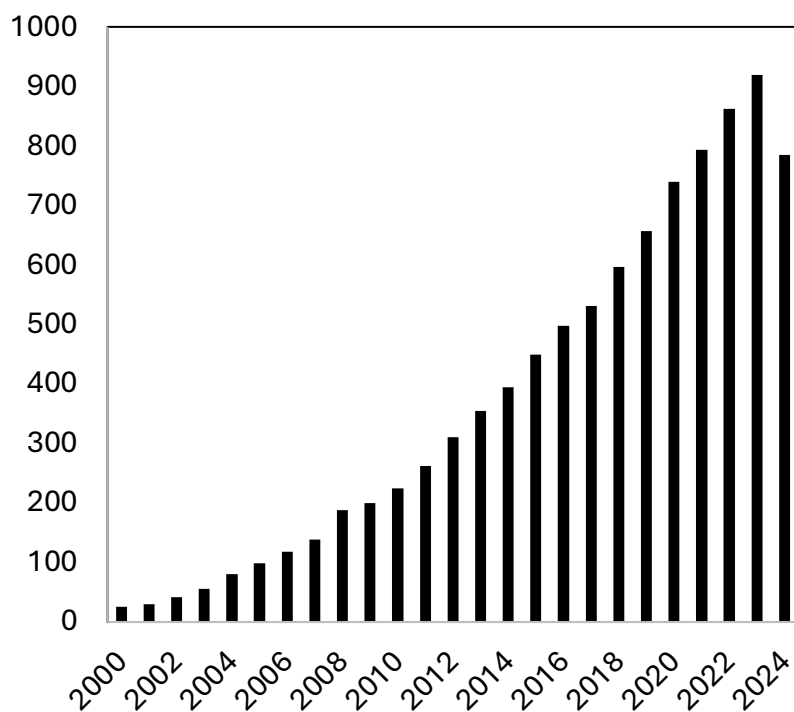
Table 5: Private Credit Net Fund Returns (continued)

Panel B: Exited Funds

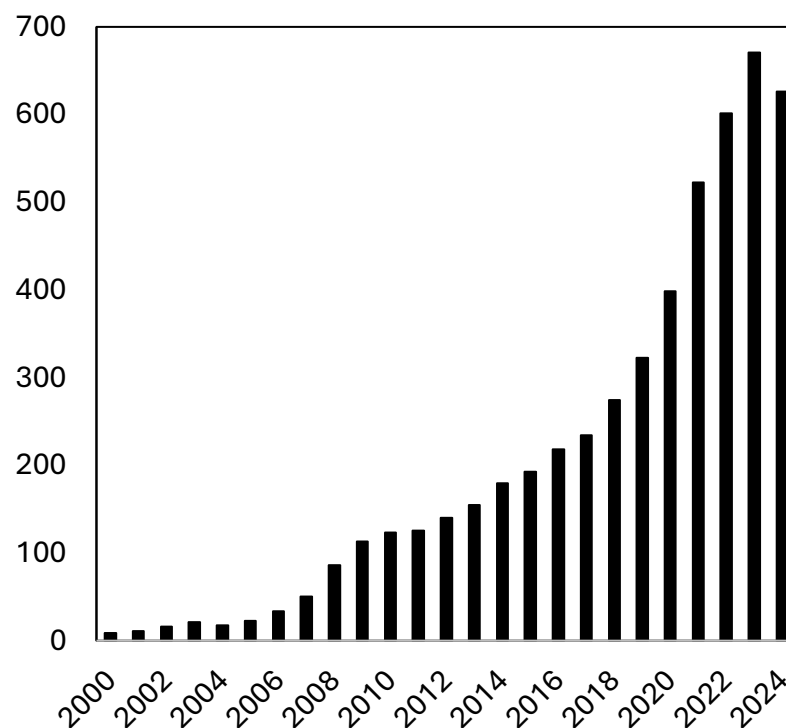
	Mean	1%	2%	5%	10%	25%	Median	75%	90%	99%	N
All Funds	9.9	-19.1	-15.3	-5.9	-0.1	4.9	9.4	14.3	19.7	54.6	324.0
By Strategy											
Distressed	11.0	-18.6	-8.9	-2.4	1.3	4.9	10.0	16.3	21.1	47.2	100.0
Generalist	9.5	-21.0	-17.3	-11.7	-6.3	6.6	11.2	15.8	20.3	39.3	52.0
Mezzanine	8.4	-18.1	-11.8	-6.8	-3.0	4.7	8.6	12.5	16.9	35.0	118.0
Senior	8.9	2.5	2.6	2.8	3.1	5.6	8.5	12.0	13.5	17.1	32.0
Unknown/ Not Classified	15.2	-13.4	-9.8	0.1	0.9	3.7	8.8	15.2	57.1	76.1	22.0
By Industry	14.8										
Financials	10.4	3.9	4.3	5.5	7.6	11.1	12.3	20.2	22.3	25.0	7.0
Generalist	4.2	-14.5	-11.3	-5.0	1.2	4.0	8.9	12.8	20.0	62.6	158.0
Industrials	8.5	-19.9	-18.9	-15.9	-10.9	1.3	8.0	13.5	15.5	15.8	6.0
Real Estate	10.8	-21.7	-19.7	-11.3	-5.0	5.2	9.3	14.4	19.1	33.2	91.0
Unknown/ Not Classified	9.9	-4.3	-5.1	-2.6	2.5	6.9	10.1	16.0	18.1	28.9	52.0

Figure 1: Number of Private Credit Funds and their Assets over Time

This figure shows the evolution of the U.S. private credit fund industry from 2010 to 2024. Panel (a) plots the number of active private credit funds over time, while Panel (b) displays their corresponding aggregate assets under management (in billions of U.S. dollars). Together, the panels illustrate the industry's rapid expansion in both the number of funds and total assets over the sample period. *Data sources:* MSCI Private Capital Universe.



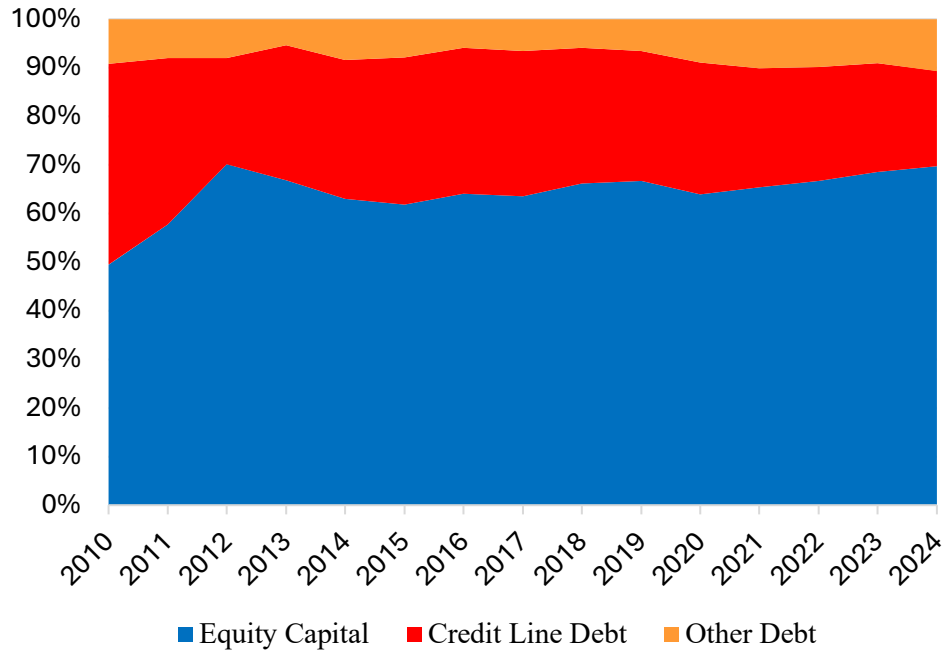
(a) Number of Funds



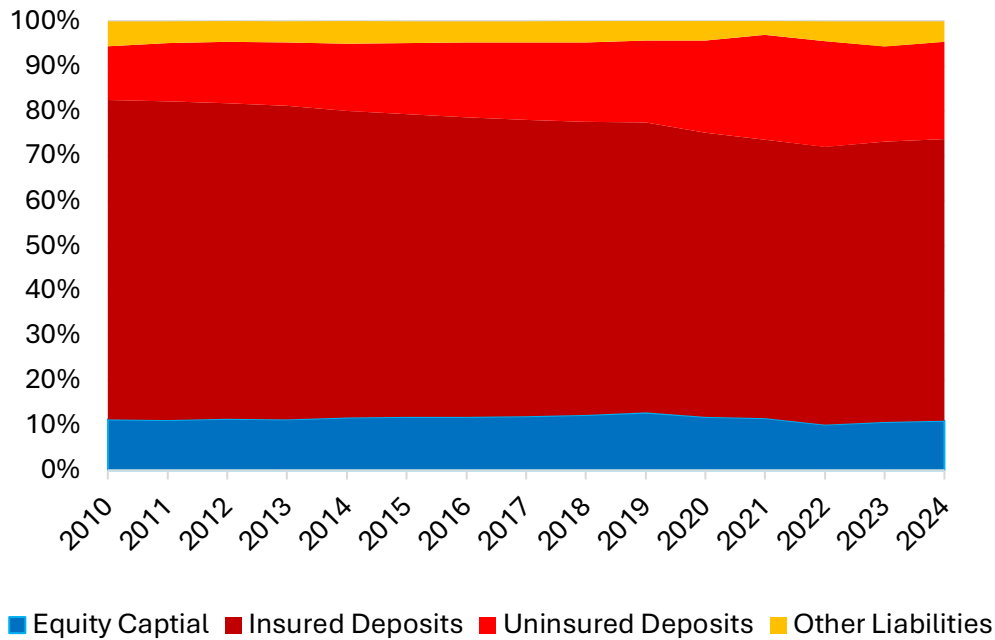
(b) Aggregate Assets (in \$BN)

Figure 2: Capital Structure of Private Credit Funds Over Time

Panel (a) shows the evolution of the mean liability structure of 574 U.S. private credit funds that report credit line usage over the 2010–2024 period. The stacked area chart decomposes total liabilities into equity capital, credit line debt, and other debt, expressed as percentages of total assets. Panel (b) presents the corresponding results for U.S. banks, where bank liabilities are decomposed into equity capital, insured deposits, uninsured deposits, and other liabilities, also as shares of total assets. On average, private credit funds are more than six times better capitalized than U.S. banks, reflecting their substantially higher equity-to-assets ratios. *Data sources:* MSCI Private Capital Universe and U.S. Call Reports.



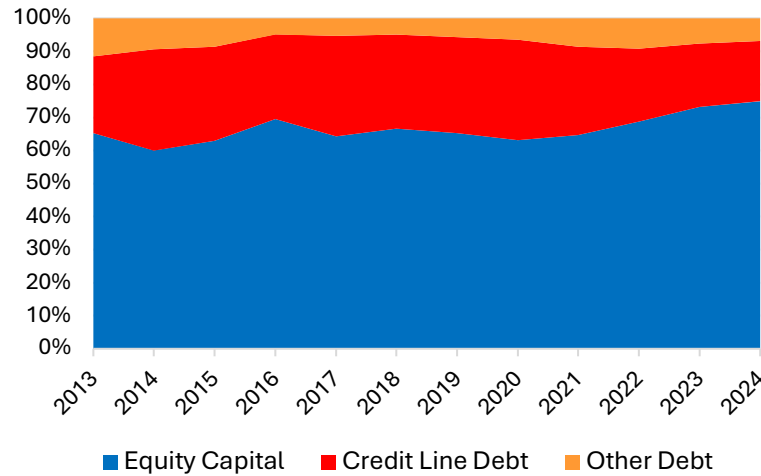
(a) Private Credit Funds



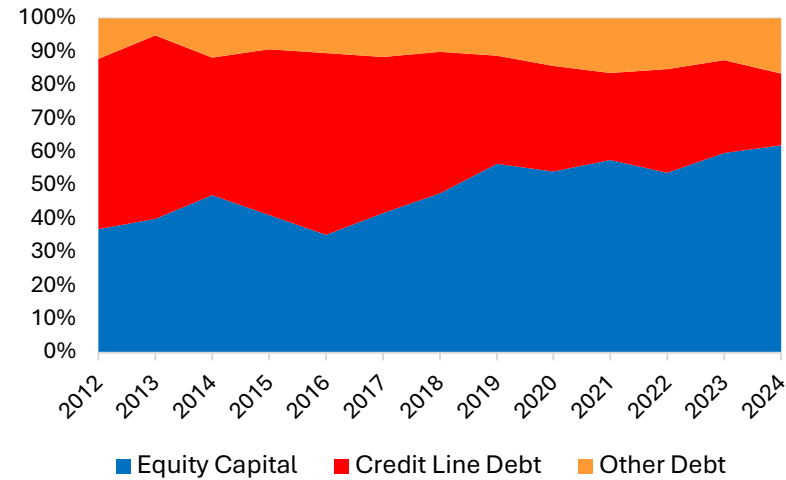
(b) Traditional Banks

Figure 3: Capital Structure of Private Credit Funds Over Time: Variation by Fund Strategy

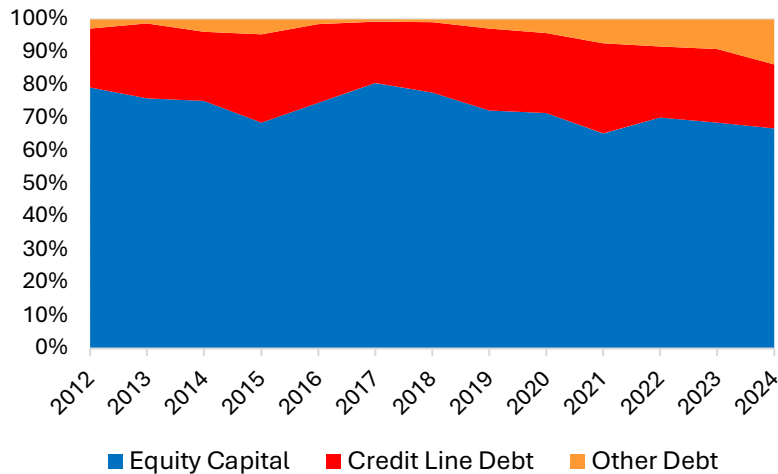
This figure shows the evolution of the mean liability structure of U.S. private credit funds that report credit line usage over the 2010–2024 period, disaggregated by four main fund strategies. The stacked area charts decompose total liabilities into equity capital, credit line debt, and other debt, expressed as percentages of total assets. Panel (a) presents results for Generalist funds, Panel (b) for Senior funds, Panel (c) for Mezzanine funds, and Panel (d) for Distressed funds. *Data sources:* MSCI Private Capital Universe.



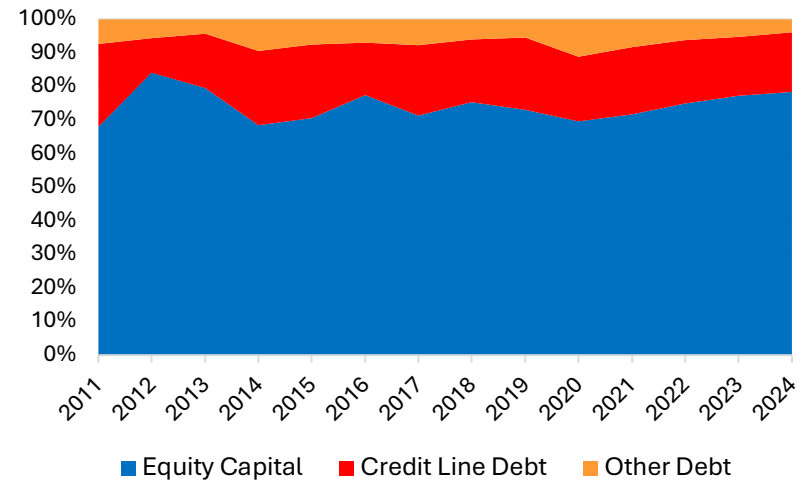
(a) Generalist



(b) Senior



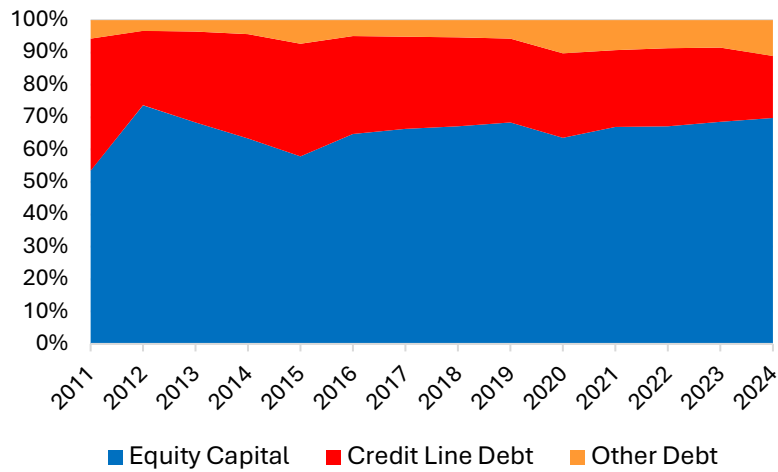
(c) Mezzanine



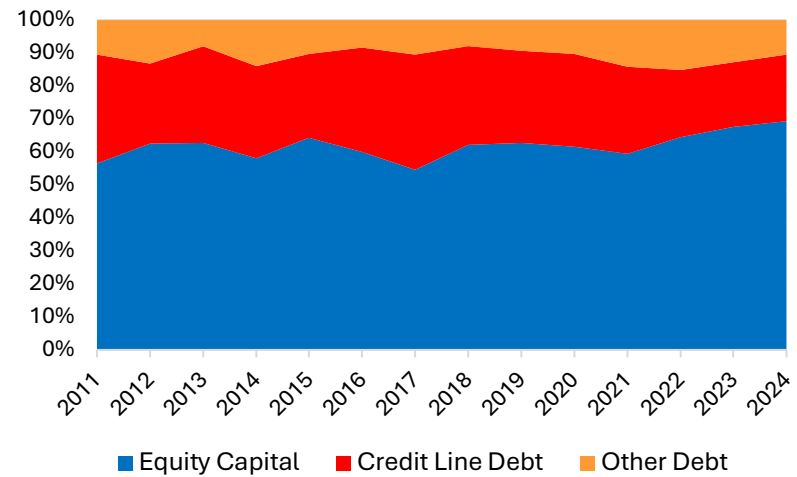
(d) Distressed

**Figure 4: Capital Structure of Private Credit Funds Over Time:
Heterogeneity by Fund Industry**

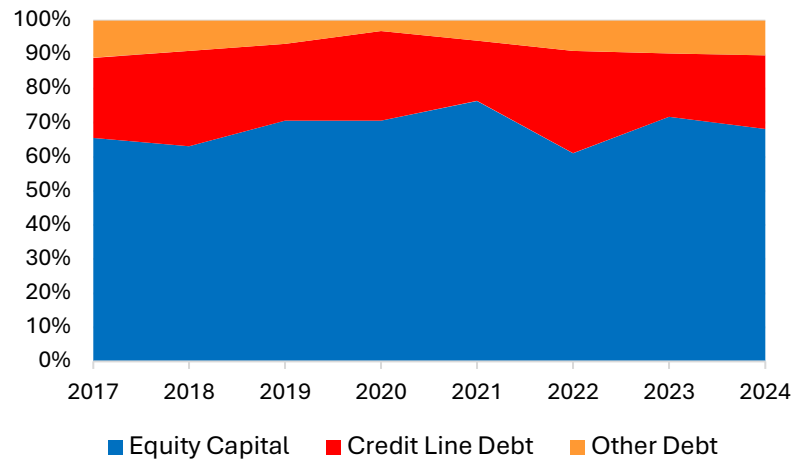
This figure shows the evolution of the mean liability structure of U.S. private credit funds that report credit line usage over the 2010–2024 period, disaggregated by the three main fund industries. The stacked area charts decompose total liabilities into equity capital, credit line debt, and other debt, expressed as percentages of total assets. Panel (a) presents results for generalist funds, Panel (b) for real estate funds, and panel (c) for financials *Data sources: MSCI Private Capital Universe.*



(a) Generalist



(b) Real Estate



(c) Financials

Figure 5: Distribution of Private Credit Fund Holdings across U.S. States

This figure shows the distribution of private credit fund holdings across U.S. states, measured by total dollar amounts invested. Darker shades represent states with larger shares of aggregate investment. The three largest states by investment share are New York (10.3%), Texas (7.5%), and California (5.7%), which together account for about one-quarter of total private credit fund exposure. The remaining investments are more broadly distributed across other states, reflecting geographic diversification in fund portfolios. *Data sources:* MSCI Private Capital Universe.

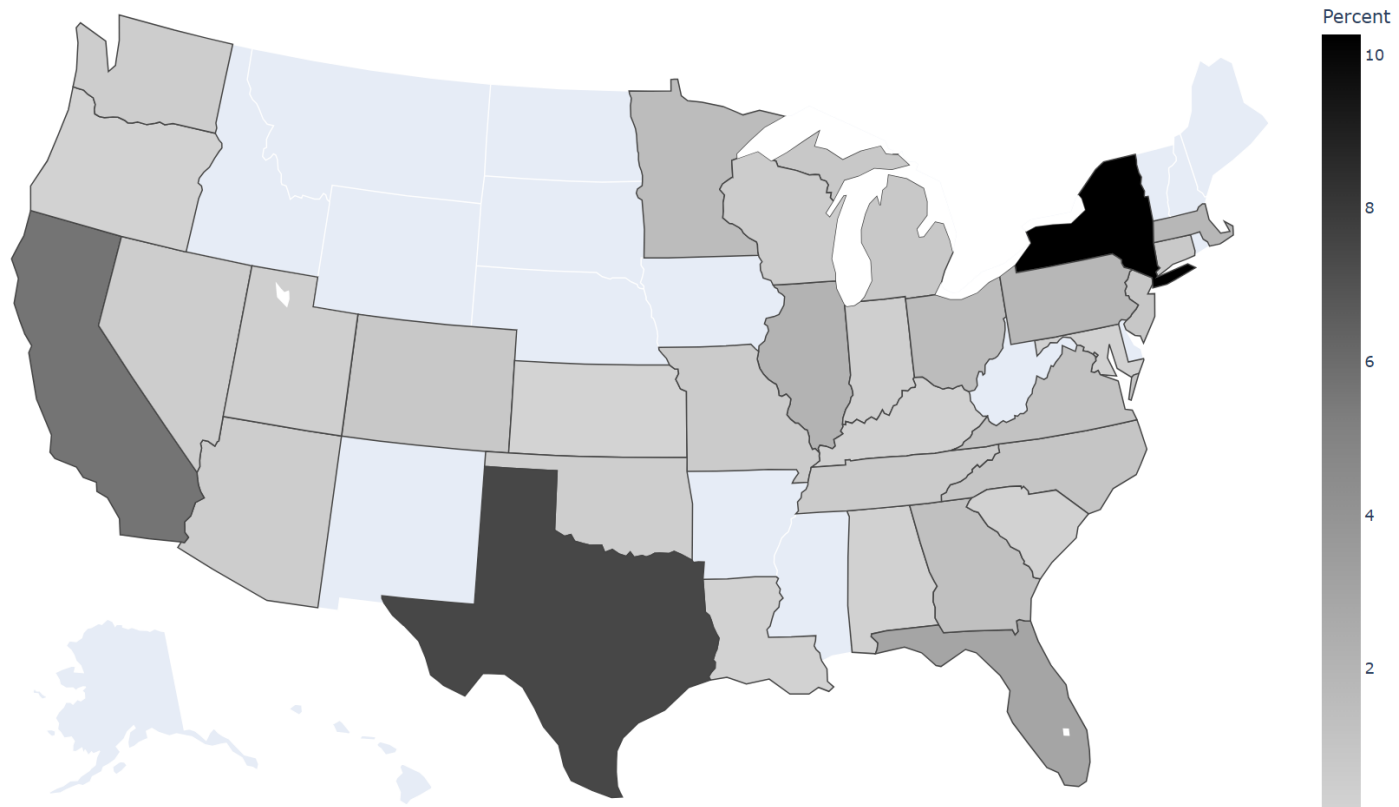
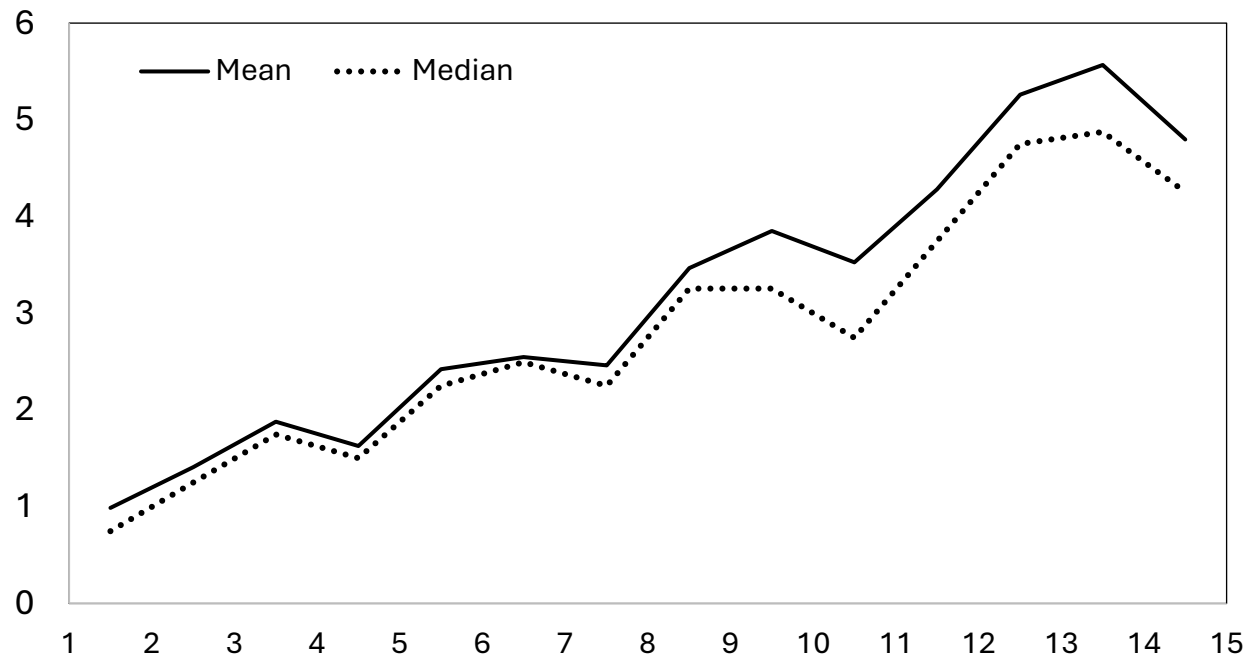


Figure 6: Investment Maturity and Fund Life Duration (in Years)

This figure plots the mean and median investment maturity (in years) against the realized fund age for U.S. private credit funds that have fully exited. Both measures show a positive relationship, indicating that older (realized) funds tend to hold investments with longer maturities. However, the average maturity of underlying investments remains shorter than the overall realized duration of the fund, suggesting that even among completed funds, investment horizons are structured to be shorter than fund lifecycles to facilitate capital recycling and liquidity management. *Data sources:* MSCI Private Capital Universe.



Appendix A1: Growth of Private Credit Funds (Prequin data)

This figure shows the rapid expansion of private credit debt fund assets under management (AUM) in the United States from 2000 to 2023. AUM grew gradually in the early 2000s and accelerated sharply after 2010, reflecting the increasing role of private credit in financial markets. *Data Sources:* Data are from Prequin, covering U.S.-managed private debt funds and excluding funds of to avoid double counting.

